



DELHI PUBLIC SCHOOL NEWTOWN
SESSION 2022–2023
MONDAY TEST 2

CLASS : X
SUBJECT : ECONOMIC APPLICATIONS

FULL MARKS : 40
DATE : 07.11.2022

General Instructions:

- The paper consists of two printed pages.
- Answers should be to the point.
- Copy the question number carefully before answering the questions.

Section – A [10 MARKS]

(Attempt all questions from this Section)

Question 1

Choose the correct answers to the questions from the given options.

[10]

- i) Identify the tax whose burden can be shifted
 - a) GST
 - b) Income Tax
 - c) Wealth Tax
 - d) All of the above
- ii) On the basis of burden of taxation, we can classify the taxes among
 - a) Direct and indirect taxes
 - b) Proportional and progressive taxes
 - c) Regressive and degressive taxes
 - d) All of the above
- iii) An indirect tax can be made progressive by imposing higher tax rates on luxury goods.
 - a) True
 - b) False
- iv) Income tax is the most important source of revenue in India. Income tax is
 - a) Direct and proportional
 - b) Indirect and proportional
 - c) Direct and progressive
 - d) Indirect and progressive
- v) The public sector enterprises are owned, managed and controlled by
 - a) Government
 - b) Individuals
 - c) Foreigners
 - d) Investors
- vi) Taxes paid by those on whom they are imposed is called astaxes
 - a) Direct
 - b) Indirect
 - c) GST
 - d) None of the above

- vii) When the rate of tax decreases with the increase in the taxpayer's income, it is known astax.
- Progressive
 - Proportional
 - Regressive
 - None of the above
- viii) Corporate tax is an example of
- Direct
 - Indirect
 - Entertainment
 - Income
- ix) When incomes are taxed at an uniform rate, it is known as.....
- Proportional
 - Progressive
 - Regressive
 - Degressive
- x) Taxation Policy and Expenditure policy are instruments of
- Fiscal Policy
 - Monetary Policy
 - Price Policy
 - All of the above

Section – B [30 MARKS]

(Attempt all questions from this Section)

Question 2

- i) What is privatization ? Explain in brief three arguments in favour of privatization of public sector units in India. [7]
- ii) Explain briefly four problems of public sector undertakings in India. [8]

Question 3

- i) What are indirect taxes ? Explain any two merits and two demerits of Indirect taxes. [7]
- ii) Explain the following with numerical examples : (i) Progressive Tax, (ii) Proportional Tax, (iii) Degressive Tax, (iv) Regressive Tax [8]